

I Squared Capital Bets \$1 Billion on AI Inference Data Centers

\$225 m

Transaction value

On May 27, I Squared Capital signed an agreement to acquire ten data centers from Cogen Fiber, a Cogent Communications Holdings subsidiary, for \$225 million in cash. The...

The clean read

- On May 27, I Squared Capital signed an agreement to acquire ten data centers from Cogen...
- All acquired assets include expansion capacity and support liquid-cooling-enabled...
- Training workloads concentrate in hyperscale campuses; inference workloads must sit closer...

The numbers tell the story

\$225 m

Transaction value

\$1 b

Transaction value

\$60 b

Transaction value

This is a capital stack story

markets: Chicago, Atlanta, Phoenix, Los Angeles, Kansas City, Baltimore, Houston, Nashville, and Stockton, California.

- Each facility sits near internet exchanges and offers multi-carrier connectivity.
- That is below replacement cost for new build-to-suit AI data centers, which can exceed \$1,500 per...

Who is moving the market

- On May: central to the transaction.
- Squared Capital: central to the transaction.
- Cogent Communications Holdings: central to the transaction.

Where the deal can break

- The capital is earmarked for targeted improvements and additional acquisitions.
- That suggests I Squared is targeting cost-advantaged locations with available power and fiber...
- The deal signals that institutional capital sees AI infrastructure as a long-duration...

What lenders and investors notice

\$1 b

Transaction value

\$60 b

Transaction value

\$870

Transaction value

The broader implication

Each facility sits near internet exchanges and offers multi-carrier connectivity.

- That is below replacement cost for new build-to-suit AI data centers, which can exceed \$1,500 per...
- The nine markets selected are secondary or tertiary data center hubs, not Northern Virginia or...

The answer will shape capital flows into the next phase of AI buildout.

The headline is the transaction. The story is the structure.

If the capital stack works, the deal becomes a signal. If it does not, it becomes a warning.

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